IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 60/BB/2017

U/S 230 to 232 of the Companies Act, 2013

Order Delivered on: 29th November 2018

IN THE MATTER OF COMPOSITE SCHEME OF ARRANGEMENT
AMONG
LIFETREE CYBERWORKS PRIVATE LIMITED
(First Transferor Company)
AND
TECNOTREE CONVERGENCE PRIVATE LIMITED
(Second Transferor Company)
AND
TECNOTREE INDIA PRIVATE LIMITED
(Resulting Company)
AND THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Lifetree Cyberworks Services Private Limited
No. 65/2, B-Block, 1st Floor, Level 03,
Bagamane Tribid, Bagamane Tech Park,
C.V. Raman Nagar, Bangalore-560093 ... **First Transferor Company**

Tecnotree Convergence Private Limited
No. 65/2, B-Block, 1st Floor, Level 03,
Bagamane Tribid, Bagamane Tech Park,
C.V. Raman Nagar, Bangalore-560093 ...**Second Transferor Company**

Tecnotree India Private Limited
No. 65/2, B-Block, 1st Floor, Level 03,
Bagamane Tribid, Bagamane Tech Park,
C.V. Raman Nagar, Bangalore-560093 ...**Resulting Company**

Parties Present: 1) Ms. Sindhu Rao, Shri Sharan Kukreja, Shri Siddharth Tiwary
Advocates for Petitioners

2) Smt Prema Hatti, Standing Counsel for RoC and RD

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

Heard on: 28.05.2018, 22.06.2018, 11.07.2018, 01.08.2018, 17.08.2018, 27.09.2018, 09.10.2018, and 26.10.2018

ORDER

1. The Company Petition was filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Arrangement between Lifetree Cyberworks Services Private Limited (First Transferor Company) and Tecnotree Convergence Private Limited (Second Transferor Company) and Tecnotree India Private Limited (Resulting Company) so as to be binding on all the Petitioner Companies, its shareholders and creditors.

2. The averments made in the Company Petition are briefly described hereunder:-

    a) The Petitioner Companies seek an order for sanctioning the Scheme of Arrangement of between Lifetree Cyberworks Services Private Limited (First Transferor Company) and Tecnotree Convergence Private Limited (Second Transferor Company) and Tecnotree India Private Limited (Resulting Company) so as to be binding on all the Petitioner Companies, its shareholders and creditors. The First Transferor Company will merge into the Second Transferor Company and the share capital held by the First Transferor Company in the second transferor Company shall stand cancelled. The shareholders of the First Transferor Company will be issued and allotted the Second Transferor Company new equity shares in accordance with the terms of the Scheme in consideration of the merger of the First Transferor Company into the Second Transferor Company. The Second Transferor Company's undertakings, business, activities and operations pertaining to its Telecom Software Service Business ("Demerged Undertaking") shall be transferred by way of a demerger to the Resulting Company and the shareholders of the Second Transferor Company shall be paid the resulting Company cash consideration or shall be issued the Resulting Company new equity shares in accordance with the terms of the Scheme in consideration of the demerger of

the Demerged Undertaking from the Second Transferor Company to the Resulting Company. The Scheme of Arrangement is shown as **Annexure –A** to the Petition.

b) The First Transferor Company was incorporated on 08th March, 2000 under the name and style of '*eLifestyle.com Private Limited*' under the jurisdiction of the Registrar of Companies, Uttar Pradesh. On 19th July 2000, the name of the First Transferor Company was changed to 'Lifetree Cyberworks Private Limited' and by way of Special resolution at the general meeting of the Firs Transferor Company held on 21st May 2013, the registered office was shifted from New Delhi to Bengaluru. The Certificate of Incorporation of First Transferor Company bears CIN No. U74899KA2000PTC075544. The Registered office of the First Transferor Company is at No. 65/2, B-Block, 1st Floor, Level 03, Bagamane Tribid, Bagamane Tech Park, C.V. Raman Nagar, Bangalore-560093.

c) The object of the First Transferor Company as set out in its Memorandum of Association is inter alia to carry on the business of developing and providing services in the field of electronic commerce, web based or related technology and applications, deal in all kinds of internet/intranet/Extranet business using e-commerce applications in India or any other country, undertake computer related jobs as data processing, data entry, computer aided drafting and designing/computer aided desktop publishing, multimedia applications (audio, video) communication work such as Lan, Wan, Internet and its application E-commerce using various software developed by self or procured from the market, if required; To carry on the business of marketing and sales representatives in the electronic media and consultancy of Electronic commerce and other products and services including Internet, email, Enhanced Fax service, Electronic data interchange, web publishing, web/portal hosting, web solutions, etc.

The Copy of the Memorandum & Articles of Association of the First Transferor Company is shown in **Annexure-C** to the Petition.

d) The latest authorised share capital of the First Transferor Company is Rs. 5,00,00,000/- divided into 50,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the First Transferor Company is Rs.2,47,22,220/- divided into 24,72,222 Equity Shares of Rs.10/- each. The Copy of Audited Financials of the First Transferor Company as on 31st March, 2017 and is shown in **Annexure-D** to the Petition.

e) The Second Transferor Company was incorporated on 06th February, 1995 under the name and style of '*Esteem Capital and Management Service Limited*' under the jurisdiction of the Registrar of Companies, Punjab, H.P. & Chandigarh. The Second Transferor Company changed its name to '*Lifetree Convergence Limited*' with effect from 04th December 2000. The Transferor Company changed its name to 'Tecnotree Convergence Limited' on 10th June 2009 and on 03rd December 2014, the Second Transferor Company changed its status to a private limited company thereby becoming 'Tecnotree Convergence Private Limited'. The Second Transferor Company shifted its registered address to Bangalore on 30th September 2013 and currently bears CIN U74899KA1995PTC076806. The Registered office of the Second Transferor Company is at No. 65/2, B-Block, 1st Floor, Level 03, Bagamane Tribid, Bagamane Tech Park, C.V. Raman Nagar, Bangalore-560093.

f) The object of the Second Transferor Company as set out in its Memorandum of Association is inter alia to carry on the business of developing and providing services in the field of electronic commerce, web based or related technology and applications, deal in all kinds of internet/intranet/Extranet business using e-commerce applications in India or any other country, undertake computer related jobs as data processing, data entry, computer aided drafting and designing/computer aided desktop publishing, multimedia applications (audio, video) communication work such as Lan, Wan, Internet and its application E-commerce using various software developed by self or procured from the market, if required; To carry on the business of marketing and sales representatives in the electronic media and consultancy of Electronic commerce

and other products and services including Internet, email, Enhanced Fax service, Electronic data interchange, web publishing, web/portal hosting, web solutions, etc.

The Copy of Memorandum & Articles of Association of the Second Transferor Company is shown in **Annexure-F** to the Petition.

g) The latest authorised share capital of the Second Transferor Company as of 28th August 2017 is Rs.35,93,00,000/- divided into 1,25,00,000 Equity Shares of Rs.10/- each and 33,00,000 Preference Shares of Rs.71/- each. The issued, subscribed and paid-up capital of the Second Transferor Company is Rs. 9,85,06,130/- divided into 29,200 Equity Shares of Rs.10/- each partly paid up to Rs.5/- per share and 98,21,413 Equity Shares of Rs.10/- each fully paid up. The Copy of Audited Financials of the Second Transferor Company as on 31st March, 2017 and as shown in **Annexure G** to the Petition.

h) The Resulting Company was incorporated on 11th August 2012 under the name and style of 'Tecnotree India Private Limited' within the jurisdiction of Registrar of Companies, Karnataka bearing CIN U72200KA2012PTC065301. The Registered office of the Resulting Company is at No. 65/2, B-Block, 1st Floor, Level 03, Bagamane Tribid, Bagamane Tech Park, C.V. Raman Nagar, Bangalore-560093.

i) The object of the Resulting Company as set out in its Memorandum of Association is inter alia to carry on the business of software designing, development, customisation, implementation, maintenance, testing and benchmarking, designing, developing and dealing in computer software and solutions, and to import, export, sell, purchase, distribute, host (in data centres or over the web) or otherwise deal in own and third party computer software packages, programs and solutions. To provide internet/web based applications, services and solutions, provide information technology related assignments on sub-contracting basis, offering services on-site or off-site or through development centers using owned or hired or third party infrastructure and

equipment, providing solutions/Packages/ services through application services provider mode via internet or otherwise, to undertake IT enabled services like call Centre Management, Medical and legal transcription, data processing, Back office processing, Accounting, HR and payroll processing, Insurance claims processing, credit card processing, loans and letters of credit processing, cheque processing, data warehousing and database management, to carry on the business of manufacturing, dealing and maintenance of computer hardware, computer systems and assemble data processors, program designs and to buy, sell or otherwise deal in such hardware and software packages, etc.

j) The latest authorised share capital of the Resulting Company as of 28th August 2017 is Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Resulting Company is Rs.1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each fully paid up. The Copy of Audited Financials of the Resulting Company as on 31st March, 2017 and as shown in **Annexure K** to the Petition.

k) The Board of Directors of the First Transferor Company, Second Transferor Company and the Resulting Company have approved and adopted the Scheme of Arrangement at its respective meetings held on 14th February, 2017. The copies of Board Resolutions are shown in **ANNEXURE – N** to the Petition.

l) The Second Transferor Company had filed Company Application No.(CAA) 37/BB/2017 before this Tribunal praying for convening and holding of the meetings of Equity Shareholders and Unsecured Creditors of the Second Transferor Company. This Tribunal vide its orders dated 17th July, 2017 allowed the Application and ordered the convention of the meeting of the Shareholders and Unsecured Creditors of Second Transferor Company while dispensing with the meeting of Secured Creditors. The Resulting Company had filed Company Application No.(CAA) 38/BB/2017 before this Tribunal praying for convening and holding of the meetings of Equity Shareholders of the Resulting Company. This Tribunal vide its orders dated 17th July, 2017 allowed the Application and

ordered the convention of the meeting of the Shareholders of Resulting Company while dispensing with the meeting of Secured Creditors and Unsecured Creditors. The First Transferor Company had filed Company Application No.(CAA) 39/BB/2017 before this Tribunal praying for convening and holding of the meetings of Equity Shareholders of the First Transferor Company. This Tribunal vide its orders dated 17th July, 2017 allowed the Application and ordered the convention of the meeting of the Shareholders of First Transferor Company while dispensing with the meeting of Secured Creditors and Unsecured Creditors. The Copy of the Orders of this Tribunal in CA(CAA) No. 37/BB/2017, CA(CAA) No. 38/BB/2017, and CA(CAA) No. 39/BB/2017 is shown as **Annexure- P** to the Petition.

3. This Tribunal vide order dated 16th October, 2017 directed the Petitioner Companies to issue Notice to all relevant statutory authorities including Income Tax Authorities, and also to have an advertisement of Notice of Petition be carried out in the Newspaper stating the next date of hearing was on 30th November, 2017.

4. In pursuant to the same the Counsel for the Petitioner Companies has filed an affidavit dated **21st November, 2017** of the authorized signatory of the Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Business Standard**', an English daily Newspaper and '**Hosadigantha**' a Kannada daily Newspaper.

5. The authorized representative for the Petitioner Companies have filed copy of Accounting Treatment Certificate dated **23rd August, 2017** of the Chartered Accountants, Jain, Christopher, Srikanth, Srikanth and Associates, inter alia stating that the accounting treatment contained in the proposed scheme is in compliance with the applicable accounting standards notified by the Central Government under the Companies Act, 2013. The Auditors Certificate on Accounting Treatment is shown as **Annexure-M**.

6. The Registrar of Companies, Karnataka has filed the observations dated 18.09.2018 making the following observations:

a. GNL-1 not filed by the Transferor Company No. 1 and Transferor Company No.2 and Resulting Company.

b. In Part-III (i.e., Demerger of the Demerged Undertaking into the Resulting Company) of Clause 14 it was mentioned that the authorised share capital of the Resulting Company shall automatically stand increased to rs.10,00,00,000 (Rupees Ten Crores only) after the Scheme coming into effect, no explanation given (As on 31.03.2016 as per MCA records authorised share capital is Rs.1,00,000 only)

c. In Part II at Clause 9 it was mentioned that after the scheme came into effect the authorised share capital of the Transferor Company No. 1 shall be added to the Transferor Company No. 2. Then it shall become Rs.40,93,00,000 of authorised capital and Rs.23,43,00,000 of preferential capital. But it was wrongly mentioned in Clause 9.1 of Part-II of the Scheme.

7. The Deputy Commissioner of Income Tax, Circle- 7(1)(1) Bangalore has filed Letter dated 09th November, 2017 making some observations:

i. M/s. Tecnotree Convergence Pvt. Ltd. (Second Transferor Company) is assessed to tax in this office and as per records the following demand is due to the assessee:

Assessment Year	Outstanding Demand
2012-13	Rs.251.31 Lakh
2013-14	Rs.475.90 Lakh
2014-15	Rs.638.14 Lakh

8. The Manager, Reserve Bank of India, Bangalore has filed Letter dated 09th November, 2017 making some observations:

- We advise that any cross border transaction related to a Scheme of arrangement or amalgamation undertaken under the Companies Act, 2013 should conform to the provisions of FEMA, 1999.

9. The Official Liquidator attached to the High Court of Karnataka has filed report OLR No. 179/2017 dated 14th November, 2017 making the following requests:

    1) That the Official Liquidator may be permitted to appoint a Chartered Accountant from the panel approved by the Hon'ble High Court of Karnataka for scrutiny of the books of account and records of Transferor Company and to submit reports on the affairs of the Company.
    2) That the Petitioner Company may be directed to pay the professional fees of the Chartered Accountant as may be mutually agreed and that in case the Chartered Accountant charges exorbitant fee which is not acceptable to the Transferor Company, the Official Liquidator shall appoint other Chartered Accountant by cancelling the appointment of the Chartered Accountant.

9. The authorised signatory of the Second Transferee Company has filed an Affidavit on 04.01.2018 in response to the representation of the Deputy Commissioner of Income Tax stating as follows:

    ➢ The Tax Authorities have made adjustments to the returned income of the Petitioner Company, on account of which outstanding demands are shown to be due from the Company. The said demands made by the Income Tax authorities have been challenged by the Petitioner Company before the Commissioner of Income Tax (Appeals) in Appeal No. CIT(A), Bengaluru-7/10112/2016-17 (for the assessment year 2012-13), ITA 1616/BANG/2017 (for the assessment year 2013-14), Appeal No. CIT(A), Bengaluru- 7/10179/2016-17 (for the assessment year 2014-15), all of which are pending as on date. The demands are hence not confirmed as on date and the Petitioner Company is awaiting the ruling by Income Tax Appellate Tribunal in this regard.

10. The authorised signatory of the Resulting Company has filed an Affidavit on 04.01.2018 in response to the representation of the RBI stating as follows:

- As required by the RBI, I undertake that any cross border transaction related to the Scheme of arrangement between Lifetree Cyberworks Private Limited, Tecnotree Convergence Private Limited and Tecnotree India Private Limited will conform to the provisions under the Foreign Exchange Management Act, 1999.

11. The authorised signatory of the First Petitioner Company has filed an Affidavit on 04.01.2018 in response to the representation of the RBI stating as follows:

- As required by the RBI, I undertake that any cross border transaction related to the Scheme of arrangement between Lifetree Cyberworks Private Limited, Tecnotree Convergence Private Limited and Tecnotree India Private Limited will conform to the provisions under the Foreign Exchange Management Act, 1999.

12. The Official Liquidator attached to the High Court of Karnataka has filed report OLR No. 6/2018 dated 11th January, 2018 making the following submissions:

(1) That P. Chandrasekar LLP, Chartered Accountants were appointed to scrutinise the books of accounts and records of the Transferor Company and submit their report, enabling the Official Liquidator to submit his report under Section 230-232 of the Companies Act, 2013.

(2) That upon scrutiny of the books and record and other material made available by the Transferor Company, P. Chandrasekar LLP, Chartered Accountants have submitted report dated 08.01.2018 with the Official Liquidator as under-

(i) We have obtained all the information and explanation, which to the best of our knowledge and belief were necessary for the purpose of scrutiny of books and papers of the First Transferor Company.

(ii) In our opinion proper books of accounts, papers, Statutory Registers, minutes and other related records as required by law have been kept by the First Transferor Company so far as appears from our examinations.

(iii) On scrutiny of books of accounts, papers, statutory registers and other related records of the Company we are of the opinion that the affairs of the Company have not been conducted in manner prejudicial to the interest of the members of the company or public interest.

(3) That the application may be disposed off on its own merit after hearing the objections if any by other sectoral regulator and the Transferor Company may be dissolved without winding up.

13. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 19th February, 2018 making some observations:

a) The First Transferor Company which is holding 53.75% shareholding in the Second Transferor Company is being amalgamated with the Second Transferor Company and thereafter the "Telecom Software Business" of the Second Transferor Company is proposed to be demerged into the Resultant Company i.e., M/s Tecnotree India Private Limited. The remaining undertaking of the Second Transferor Company consisting of "General Administration Facilities Business" would exist as a separate entity and the same is not being wound up. In such a scenario, the petitioner company may have to explain as to how the transfer of authorised capital of Demerged Company to Resultant Company is permissible under law since the Resultant Company's authorised capital post demerger is stated to be Rs.10,00,000/- while it ought to be only Rs.1,00,000/- in the context of Section 232(3)(i) of the Companies Act, 2013. Further the provisions of Clause 9 of Part II of the Scheme need to be recast as the transfer of authorised capital of the Transferor Company is not allowed if the said Transferor Company is not to be dissolved consequent to the scheme."

b) The Second Transferor Company shall be required to provide a list of assets and liabilities of telecom business that it proposes to demerge with/into resultant company with their book as well as transfer values and incorporate the same as part of the Scheme. Similarly, the list of assets and liabilities of General and Administration facilities business with their book and transfer values shall also be provided by amending the Scheme.

c) The First Transferor Company had related party transactions with its ultimate holding company [Tecnotree Oyj, (Finland)] i.e., sale of software and its subsidiary [Lifetree Convergence (Nigeria) Ltd.], which is also the sale of software and it did not explain as to the basis on which it claims that these are carried out on arm's length basis since no documentary evidence was produced. Hence, either it shall satisfactorily explain as to how it is entitled to avail of the exemption provided in Section 188 or on the alterative, move compounding application for non-compliance of Section 188 for the years 2014-15, 2015-16, and 2016-17.

d) All the Petitioner Companies have foreign body as a dominant shareholder and therefore, issue of shares to the said shareholder as part of discharge of consideration requires compliance of FEMA which be stipulated; if the Scheme is eventually approved.

14. The authorised signatory of the Second Transferor Company has filed an Affidavit on 07.03.2018 in response to the representation of the RD stating as follows:

a. *Share capital of Resulting Company*: it is submitted that nowhere in the Scheme is the authorised share capital of the Second Transferor Company being transferred to the Resulting Company. Under Clause 14 of Part III of the Scheme, authorised share capital of Resulting Company is being increased from Rs.1,00,000/- (Rupees One lakh only) to Rs.10,00,00,000/- (Rupees Ten Crores only) to accommodate for the allotment of shares of the Resulting Company to the shareholders of the Second Transferor Company, as a consequence of demerger of the Demerged undertaking into the Resulting Company.

Accordingly, there is no transfer of the authorised share capital of the Second Transferor Company to the resulting Company, and the Second Transferor Company's authorised share capital shall be as provided under the amended Clause 9 of Part II of the Scheme, post coming into effect of the scheme.

b. *Share capital as provided under Clause 9 of Part II of the Scheme*: the Petitioner Companies have filed an application for correction to Clause 9 of Part II of the Scheme on February 21, 2018 in which it has been clarified that due to a typographical error, the authorised share capital of the Second Transferor Company does not presently reflect the addition of the authorised share capital of the First Transferor Company post coming into effect of the Scheme. The authorised share capital of the Second Transferor Company post coming into effect of the Scheme. The authorised share capital of the First Transferor Company post coming into effect of the Scheme. The authorised share capital of the Second Transferor Company post merger of the First transferor Company will be Rs.40,93,00,000/-, which is a sum of Rs.35,93,00,000/- (authorised share capital of the Second Transferor Company as on date) and Rs. 5,00,00,000/- (authorised share capital of the First Transferor Company). A copy of the said application has been served on the Registrar of Companies on February 21, 2018 as well. Accordingly, the observations of the Registrar of Companies in respect of these matters may be taken as adequately addressed.

c. *List of assets and liabilities of Demerged Undertaking and Remaining Undertaking*: A certificate from M/s Sudarshan Abilesh and Co., Chartered Accountants, Statutory Auditors of the Company giving list of assets and liabilities to be transferred on demerger from Second Transferor Company to the Resultant Company and statement of account for remaining undertaking of Second Transferor Company is annexed to the reply affidavit of the Second Transferor Company. The certificate also clarifies that the assets and liabilities mentioned at book value and will be transferred at book value.

d. *Related party transactions with Tecnotree OYJ and Lifetree Convergence Nigeria*:

- It is submitted that the reference to the First Transferor Company in observation (c) of the affidavit is incorrect since the First Transferor Company has not engaged in any sale of software with Tecnotree OYJ and Lifetree Convergence Nigeria. It is the Second Transferor Company that has engaged in such sales, and consequently, the response provided below is in relation to the Second Transferor Company.

- The related party transactions between the Second Transferor Company with its ultimate holding company (Tecnotree OYJ, Finland) and its subsidiary (Lifetree Convergence (Nigeria) Limited) are on arms-length basis. The statutory auditors of Second Transferor Company have certified that they are in compliance with Section 188 of the Companies Act, 2013 and that the details of these transactions have also been disclosed in the financial statements as required by the applicable accounting standards.

- In this regard, the Second Transferor Company is producing a copy of the transfer pricing memorandum issued by the statutory auditors of the Second Transferor Company for the years 2014-15 and 2015-16, which certify that after a detailed analysis, including comparisons of transactions made by similarly placed entities, the international transactions of the second Transferor Company have been carried out in accordance with the standards for arm's length transactions as required under Indian law. The memorandum has been prepared in accordance with the Indian transfer pricing provisions contained in the Income tax Act, 1961. The transfer pricing memorandum for the years 2014-15 and 2015-16 are annexed to the reply affidavit of the Second Transferor Company.

- Similarly, the Second Transferor Company is also producing the annual reports for the years 2015-16 and 2016-17, wherein the statutory auditors have confirmed that the transactions have been undertaken at arm's length basis. This may be referred to at Item (xi) at page no. 25 of the annual report for the year 2016-17 and at Item (xiii) at page no. 25 of the annual report for the year 2015-16.

- In addition to the above, the Second Transferor Company is also producing the certificate issued by the present statutory auditors of the Second Transferor Company certifying that the related party transactions undertaken by the Second Transferor Company during the periods 2014-15, 2015-16 and 2016-17 are at arm's length basis.

- While the Second Transferor Company has, by way of the above, established that the transactions with its related parties were undertaken at an arm's length basis, it may also be noted that the Ministry of Corporate Affairs, Government of India has issued a notification dated 05th June 2015, under which any company which is a holding, subsidiary or an associate company of such company or a subsidiary of a holding company to which it is also a subsidiary shall not be considered a related party in case of private limited company for the purposes of ascertaining related party transactions under Section 188 of the Act. In view of Tecnotree OYJ Finland being the ultimate parent company of the Second Transferor Company and Lifetree Convergence (Nigeria) limited being the subsidiary of the Second transferor Company, it is submitted that the transactions between these companies are transactions between a holding company and its subsidiary and therefore, are exempt from the provisions relating to related party transactions from the date of issue of the said notification.

e. *Compliance with FEMA*: the Petitioner Companies have each filed affidavits before the Hon'ble Tribunal on January 5, 2018 confirming that the Petitioner

Companies shall ensure compliance with FEMA in relation to any cross border transaction that may arise in respect of the Scheme. The Petitioner Companies undertake in this affidavit as well that any cross border transaction related to the scheme of arrangement between Lifetree Cyberworks Private Limited, Tecnotree Convergence Private Limited and Tecnotree India Private Limited will conform to the provisions under the Foreign Exchange Management act, 1999.

15. The authorised signatory of the Resulting Company has filed an Affidavit on 07.03.2018 in response to the representation of the RD stating as follows:

a. *Share capital of Resulting Company*: it is submitted that nowhere in the Scheme is the authorised share capital of the Second Transferor Company being transferred to the Resulting Company. Under Clause 14 of Part III of the Scheme, authorised share capital of Resulting Company is being increased from Rs.1,00,000/- (Rupees One lakh only) to Rs.10,00,00,000/- (Rupees Ten Crores only) to accommodate for the allotment of shares of the Resulting Company to the shareholders of the Second Transferor Company, as a consequence of demerger of the Demerged undertaking into the Resulting Company. Accordingly, there is no transfer of the authorised share capital of the Second Transferor Company to the resulting Company, and the Second Transferor Company's authorised share capital shall be as provided under the amended Clause 9 of Part II of the Scheme, post coming into effect of the scheme.

b. *Share capital as provided under Clause 9 of Part II of the Scheme*: the Petitioner Companies have filed an application for correction to Clause 9 of Part II of the Scheme on February 21, 2018 in which it has been clarified that due to a typographical error, the authorised share capital of the Second Transferor Company does not presently reflect the addition of the authorised share capital of the First Transferor Company post coming into effect of the Scheme. The authorised share capital of the Second Transferor Company post coming into effect of the Scheme. The authorised share capital of the First Transferor Company post coming into effect of the Scheme. The authorised share capital of

the Second Transferor Company post merger of the First transferor Company will be Rs.40,93,00,000/-, which is a sum of Rs.35,93,00,000/- (authorised share capital of the Second Transferor Company as on date) and Rs. 5,00,00,000/- (authorised share capital of the First Transferor Company). A copy of the said application has been served on the Registrar of Companies on February 21, 2018 as well. Accordingly, the observations of the Registrar of Companies in respect of these matters may be taken as adequately addressed.

c. *List of assets and liabilities of Demerged Undertaking and Remaining Undertaking*: A certificate from M/s Sudarshan Abilesh and Co., Chartered Accountants, Statutory Auditors of the Company giving list of assets and liabilities to be transferred on demerger from Second Transferor Company to the Resultant Company and statement of account for remaining undertaking of Second Transferor Company is annexed to the reply affidavit of the Second Transferor Company. The certificate also clarifies that the assets and liabilities mentioned at book value and will be transferred at book value.

d. *Related party transactions with Tecnotree OYJ and Lifetree Convergence Nigeria*:

- It is submitted that the reference to the First Transferor Company in observation (c) of the affidavit is incorrect since the First Transferor Company has not engaged in any sale of software with Tecnotree OYJ and Lifetree Convergence Nigeria. It is the Second Transferor Company that has engaged in such sales, and consequently, the response provided below is in relation to the Second Transferor Company.

- The related party transactions between the Second Transferor Company with its ultimate holding company (Tecnotree OYJ, Finland) and its subsidiary (Lifetree Convergence (Nigeria) Limited) are on arms-length basis. The statutory auditors of Second Transferor Company have certified that they are in compliance with Section 188 of the Companies Act, 2013 and that the details of these transactions have also been

disclosed in the financial statements as required by the applicable accounting standards.

- In this regard, the Second Transferor Company is producing a copy of the transfer pricing memorandum issued by the statutory auditors of the Second Transferor Company for the years 2014-15 and 2015-16, which certify that after a detailed analysis, including comparisons of transactions made by similarly placed entities, the international transactions of the second Transferor Company have been carried out in accordance with the standards for arm's length transactions as required under Indian law. The memorandum has been prepared in accordance with the Indian transfer pricing provisions contained in the Income tax Act, 1961. The transfer pricing memorandum for the years 2014-15 and 2015-16 are annexed to the reply affidavit of the Second Transferor Company.

- Similarly, the Second Transferor Company is also producing the annual reports for the years 2015-16 and 2016-17, wherein the statutory auditors have confirmed that the transactions have been undertaken at arm's length basis. This may be referred to at Item (xi) at page no. 25 of the annual report for the year 2016-17 and at Item (xiii) at page no. 25 of the annual report for the year 2015-16.

- In addition to the above, the Second Transferor Company is also producing the certificate issued by the present statutory auditors of the Second Transferor Company certifying that the related party transactions undertaken by the Second Transferor Company during the periods 2014-15, 2015-16 and 2016-17 are at arm's length basis.

- While the Second Transferor Company has, by way of the above, established that the transactions with its related parties were undertaken at an arm's length basis, it may also be noted that the Ministry of

Corporate Affairs, Government of India has issued a notification dated 05th June 2015, under which any company which is a holding, subsidiary or an associate company of such company or a subsidiary of a holding company to which it is also a subsidiary shall not be considered a related party in case of private limited company for the purposes of ascertaining related party transactions under Section 188 of the Act. In view of Tecnotree OYJ Finland being the ultimate parent company of the Second Transferor Company and Lifetree Convergence (Nigeria) limited being the subsidiary of the Second transferor Company, it is submitted that the transactions between these companies are transactions between a holding company and its subsidiary and therefore, are exempt from the provisions relating to related party transactions from the date of issue of the said notification.

e. *Compliance with FEMA*: the Petitioner Companies have each filed affidavits before the Hon'ble Tribunal on January 5, 2018 confirming that the Petitioner Companies shall ensure compliance with FEMA in relation to any cross border transaction that may arise in respect of the Scheme. The Petitioner Companies undertake in this affidavit as well that any cross border transaction related to the scheme of arrangement between Lifetree Cyberworks Private Limited, Tecnotree Convergence Private Limited and Tecnotree India Private Limited will conform to the provisions under the Foreign Exchange Management act, 1999.

16. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies in response to the Affidavit of the authorised signatory of Resulting Company, has filed Affidavit dated 22nd March, 2018 making some observations:

a. The Petitioner Company has accepted that there is typo error in respect of Clause 9.1 of Part II of the Scheme. However, Clause 9.1 of the Scheme is not in accordance with the provisions of Section 232(3)(i) of the Companies Act, 2013. The petitioner transferee company has sought complete waiver of the fee and

stamp duty payable on account of consolidation of the authorised share capital of the First Transferor Company which is not acceptable in view of the provisions of Section 232 (3)(i) of the Companies Act, 2013. The Transferee Company has to pay the differential fee and stamp duty on the increase of authorised capital after setting off the fee if any, paid by the Transferor Company. Further, Clause 14.1 of the Scheme providing for consolidation of capital of Second Transferor Company with the Resulting Company is also not allowable in view of the provisions of Section 232(3)(i) of the Companies Act, 2013 since the Second Transferor Company is not being dissolved.

b. ROC in his affidavit dated 19.02.2018 at para No. (b), (c), and (d) made observations which have not been replied to by the Petitioner Company. In the absence of the above mentioned information, the Directorate is unable to furnish its comments or objections on the Scheme filed.

17. The authorised signatory of the Second Transferee Company has filed an Affidavit on 06.04.2018 in response to the representation of the RD dated 22.03.2018, stating as follows:

a) The Registrar of Companies has noted that Clause 9.1 of Part II of the Scheme is not in accordance with Section 232(3)(i) of the Companies Act, 2013 since the said clause has sought for a waiver from the payment of any differential fees and stamp duty that may arise on account of the consolidation of the authorised share capital of the First Transferor Company with the Second Transferor Company but only seeks to provide for an appropriate set-off against fees already paid by the First Transferor Company on its authorised share capital, as required under Section 232(3) (i) of the Companies Act, 2013. Waiver is sought only to the extent of the fees and stamp duty already paid by the First Transferor Company on its authorised share capital, which is in accordance with Section 232(3) (i) of the Companies Act, 2013.

b) In any event, the Petitioner Companies undertake to ensure compliance with Section 232(3) (i) of the Companies Act, 2013in so far as it relates to the

differential fees and stamp duty paid that may arise on account of the proposed scheme. The fees and stamp duty paid by the First Transferor Company on its authorised share capital shall be set off against any fees payable by the Second Transferor Company on its authorised capital subsequent to the amalgamation and any differential fees and stamp duty will be borne by the Second Transferor Company, if so required. Similarly, the Second Transferor and the Resulting Company undertake to comply with the provisions of section 232(3) (i) of the Companies Act, 2013 and pay the differential fees and stamp duty that may arise as a result of the demerger of the Demerged Undertaking of the Second Transferor Company into the resulting Company.

c) In respect of the observations at points (b), (c), and (d) of the initial report of the Registrar of Companies filed by way of affidavit dated 19.02.2018, the Registrar of Companies has confirmed that the Petitioner Companies have provided responses to the said observations and has made no further observations or remarks in this regard.

18. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies in response to the Affidavit of the authorised signatory of Second Transferee Company on 06.04.2018, has filed Affidavit dated 28th April, 2018 making some observations:

a. The Petitioner Company has accepted that there is typo error in respect of Clause 9.1 of Part II of the Scheme. However, Clause 9.1 of the Scheme is not in accordance with the provisions of section 232(3) (i) of the Companies Act, 2013. In this clause, the Petitioner Transferee Company has sought complete waiver of the fee and stamp duty payable on account of consolidation of the authorised share capital of the First Transferor and Transferee Company which is not acceptable in view of the provisions of section 232(3) (i) of the Companies Act, 2013. The Transferee Company has to pay the differential fee and stamp duty on the increase of authorised capital after setting off the fee if any paid by the Transferor Company and the Resultant Company and the reference regarding

increase of authorised capital after setting off the fee if any paid by the Transferor Company. Further the Petitioner Company has clarified in its affidavit dated 07.03.2018 that it is not seeking clubbing of capital in respect of the 2nd Transferor Company and the Resultant Company and the reference regarding increase of issue of shares to the shareholders of the Transferor Company for which the Resultant Company would increase its authorised capital on payment of necessary fee and stamp duty to the Registrar of Companies.

b. The Petitioner Company vide its email dated 27.03.2018 has submitted a list of assets and liabilities of "Telecom Software Business" and "General Administration Facilities Business".

c. The petitioner company in its affidavit dated 07.03.2018 has stated that these transactions have been carried out in accordance with the Indian transfer pricing provisions under the IT Act, 1961. Hence, no further observations in this regard.

d. The Petitioner companies have undertaken that the transactions carried out in pursuance of the Scheme shall be in accordance with FEMA.

19. On 21.02.2018, the Counsel for the Petitioner Companies filed Interlocutory Application No. 44 of 2018 under Rule 24 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for correction to the Scheme of Arrangement filed by the Petitioner Companies stating as follows:

a) It was observed that inadvertently, there exists a typographical error in Clause 9.1 of Part II of the Scheme in relation to calculation of the authorised share capital of the second Transferor Company post the amalgamation of the First Transferor Company into the Second Transferor Company.

b) Clause 9.1 of the Scheme is sought to be replaced with the following:

"9.1 As an integral part of the Scheme, and, upon coming into effect of the Scheme, the authorised share capital of the First Transferor Company, as on Effective Date, shall be added to the authorised share

capital of the Second Transferor Company, and the share capital of the Second Transferor Company shall stand increased by the such share capital of the First Transferor Company as on Effective Date, without any further act or deed and without any further payment of stamp duty or the registration fees and Clause V of the Memorandum of Association of the Second Transferor Company shall be substituted by the following clause:

V. The Authorised Share Capital of the Company is Rs.40,93,00,000/- (Rupees Forty Crores Ninety Three Lakhs only) divided into 1,75,00,000 equity shares of Rs.10/- (Rupees Ten only) each and 33,00,000 preference shares of Rs.71/- each."

c) As per Clause 2.1(iii) of Part IV of the Scheme which provides that the Companies (through their Board of Directors) may jointly and as mutually agreed in writing in their full and absolute discretion and by mutual agreement in writing, modify, vary or withdraw this Scheme prior to effective date in any manner at any time. The Boards of the Petitioner Companies, pursuant to Clause 2.1(iii) of Part IV of the Scheme, have passed a Board Resolution dated 02nd February 2018, for amending Clause 9.1 of Part II of the Scheme, due to the typographical error contained in the approved Scheme.

20. On 19.04.2018, IA No. 44/2018 was allowed by permitting the Petitioner to amend the Company Petition and file the amended petition within two weeks, duly serving it on the concerned authorities, and the ROC is also at liberty to file additional reply, if so required, within a period of two weeks thereafter.

21. The authorised signatory of the First Transferor Company has filed an Affidavit on 09.10.2018 in response to representation of the ROC dated 19th February 2018 making the following statements:

i. The First Transferor Company has vide board resolution dated September 28, 2018 has carried out the following amendment to the Scheme of Arrangement:

"10. Compliance of all Laws

The Companies shall comply with all Laws including but not limited to Foreign Exchange Management Act, 1999, the Income Tax Act, 1961 and the Companies Act, 2013 and obtain all necessary permissions and approvals as may be required, in connection with the Scheme and its implementation."

ii. The aforementioned clause clarifies that the Companies mentioned in the Scheme of Arrangement, i.e., Petitioner Companies will comply with all laws in relation to the Foreign Exchange Management Act, 1999, Income Tax Act, 1961 and the Companies Act, 2013 and obtain all necessary approvals and permissions are required under law.

iii. Clause 2.1(iii) of Part IV of the scheme of arrangement provides that the Petitioner Companies (through their Board of Directors) may jointly and as mutually agreed in writing, modify, vary or withdraw the scheme of arrangement. For the said purpose, the board of Directors of the resulting Company have approved the amendment to be carried out to the scheme of arrangement vide board resolution dated September 28, 2018. The board resolution dated September 28, 2018 is produced along with the amended scheme of arrangement.

22. The authorised signatory of the Second Transferor Company has filed an Affidavit on 09.10.2018 in response to representation of the ROC dated 19th February 2018 making the following statements:

i. The Second Transferor Company has vide board resolution dated September 28, 2018 has carried out the following amendment to the Scheme of Arrangement:
"10. Compliance of all Laws
The Companies shall comply with all Laws including but not limited to Foreign Exchange Management Act, 1999, the Income Tax Act, 1961 and the Companies Act, 2013 and obtain all necessary permissions and

approvals as may be required, in connection with the Scheme and its implementation."

ii. The aforementioned clause clarifies that the Companies mentioned in the Scheme of Arrangement, i.e., Petitioner Companies will comply with all laws in relation to the Foreign Exchange Management Act, 1999, Income Tax Act, 1961 and the Companies Act, 2013 and obtain all necessary approvals and permissions are required under law.

iii. Clause 2.1(iii) of Part IV of the scheme of arrangement provides that the Petitioner Companies (through their Board of Directors) may jointly and as mutually agreed in writing, modify, vary or withdraw the scheme of arrangement. For the said purpose, the board of Directors of the resulting Company have approved the amendment to be carried out to the scheme of arrangement vide board resolution dated September 28, 2018. The board resolution dated September 28, 2018 is produced along with the amended scheme of arrangement.

23. The authorised signatory of the Resulting Company has filed an Affidavit on 09.10.2018 in response to representation of the ROC dated 19th February 2018 making the following statements:

i. The Resulting Company has vide board resolution dated September 28, 2018 has carried out the following amendment to the Scheme of Arrangement:
"*10. Compliance of all Laws*
The Companies shall comply with all Laws including but not limited to Foreign Exchange Management Act, 1999, the Income Tax Act, 1961 and the Companies Act, 2013 and obtain all necessary permissions and approvals as may be required, in connection with the Scheme and its implementation."

ii. The aforementioned clause clarifies that the Companies mentioned in the Scheme of Arrangement, i.e., Petitioner Companies will comply with all laws in

relation to the Foreign Exchange Management Act, 1999, Income Tax Act, 1961 and the Companies Act, 2013 and obtain all necessary approvals and permissions are required under law.

iii. Clause 2.1(iii) of Part IV of the scheme of arrangement provides that the Petitioner Companies (through their Board of Directors) may jointly and as mutually agreed in writing, modify, vary or withdraw the scheme of arrangement. For the said purpose, the board of Directors of the resulting Company have approved the amendment to be carried out to the scheme of arrangement vide board resolution dated September 28, 2018. The board resolution dated September 28, 2018 is produced along with the amended scheme of arrangement.

24. After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved,

THIS TRIBUNAL DO FURTHER ORDER as follows:

a) While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

b) The whole of the First Transferor Company Undertaking be transferred without further act or deed to Second Transferor Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Second Transferor Company for all the state and interest of the Petitioner Companies therein but subject nevertheless to all charges now affecting the same; and

c) The whole of the Demerged Undertaking ('Telecom Software Service Business') of the Second Transferor Company be transferred without further act or deed to Resulting Company and accordingly the same shall pursuant to Section 232 of

the Companies Act, 2013, be transferred to and vest in the Resulting Company for all the state and interest of the Petitioner Companies therein but subject nevertheless to all charges now affecting the same; and

d) All liabilities including taxes and charges, if any and duties of the First Transferor Company Undertaking be transferred without further act or deed to Second Transferor Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Second Transferor Company; and

e) All liabilities including taxes and charges, if any and duties of the Demerged Undertaking of the Second Transferor Company be transferred without further act or deed to Resulting Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Resulting Company; and

f) All proceedings now pending by or against the First Transferor Company relating to the First Transferor Company Undertaking, if any, be continued by or against the Second Transferor Company; and

g) All proceedings now pending by or against the Second Transferor Company relating to the Demerged Undertaking, if any, be continued by or against the Resulting Company; and

h) The Companies shall comply with all Laws including but not limited to Foreign Exchange Management Act, 1999, the Income Tax Act, 1961 and the Companies Act, 2013 and obtain all necessary permissions and approvals as may be required, in connection with the Scheme and its implementation.

i) All employees of the First Transferor Company Undertaking will become employees of the Second Transferor Company without any break or interruption of service. All employees of the Demerged Undertaking of the Second Transferor Company will become employees of the Resulting Company without any break or interruption of service.

j) The tax implications, if any arising out of the scheme or due to Transfer Pricing Provisions under the Income Tax Act 1961 is subject to final decision of

concerned Tax Authorities and the decision of the respective Tax Authority shall be binding.

k) The Petitioner Companies to ensure that the stamp duty as fixed by the Inspector General of Registration and Commissioner of Stamps is paid within stipulated time under relevant provisions of law.

l) The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016. The registration of the Scheme is subject to Ms/ Tecnotree Convergence Private Limited (Second Transferor Company) [PAN: AAACL7345L] depositing sum of Rs. 1365.35 Lakh in line with Letter No. F. No. DCIT/C-7 (1)(1)/Amalgamation/17-18 of the Deputy Commissioner of Income Tax, Circle- 7(1)(1) Bangalore dated 09th November, 2017. The aforementioned letter states that M/s. Tecnotree Convergence Private Limited (Second Transferor Company) is assessed to tax in the office of the Deputy Commissioner of Income Tax and as per records the following demand is due to the assessee:

Assessment Year	Outstanding Demand
2012-13	Rs.251.31 Lakh
2013-14	Rs.475.90 Lakh
2014-15	Rs.638.14 Lakh

m) The Appointed Date will be **1st April, 2017** as per the Scheme.

n) The Petitioner Companies and the authorised signatories of the Petitioner Companies are hereby directed to comply with the following before the implementation of the Scheme:

(i) Ensure compliance of Section 188 of the Companies Act 2013 as they have entered into substantial related party transactions. The ROC has to satisfy itself that the related party transactions are in order in accordance with the act and relevant rules.

(ii) Ensure that the Petitioner Companies comply with foreign exchange management laws including Foreign Exchange Management Act, 1991, legislations, rules, regulations, notifications and circulars issued by Reserve Bank of India and Department of Industrial Promotion and Policy and obtain all necessary permissions and approvals as may be required, in connection with the Scheme and its implementation.

o) The First Transferor Company or its authorised signatory is directed that after the completion of the process of amalgamation to handover the possession of the books of accounts and other relevant documents to Second Transferor Company for the purpose of Section 239 of the Companies Act, 2013.

p) The Second Transferor Company or its authorised signatory is directed that after the completion of the process of demerger to handover the possession of the books of accounts and other relevant documents to Resulting Company for the purpose of Section 239 of the Companies Act, 2013.

q) Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

ASHOK KUMAR MISHRA
(MEMBER, TECHNICAL)

RAJESWARA RAO VITTANALA
(MEMBER, JUDICIAL)

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